

Rating Rationale

November 27, 2025 | Mumbai

Finolex Cables Limited

Ratings reaffirmed at 'Crisil AA+ / Stable / Crisil A1+ '; NCD Withdrawn

Rating Action

Total Bank Loan Facilities Rated	Rs.450 Crore
Long Term Rating	Crisil AA+/Stable (Reaffirmed)
Short Term Rating	Crisil A1+ (Reaffirmed)

Rs.150 Crore Non Convertible Debentures	Withdrawn (Crisil AA+/Stable)
Rs.50 Crore Short Term Debt	Crisil A1+ (Reaffirmed)

Note: None of the Directors on Crisil Ratings Limited's Board are members of rating committee and thus do not participate in discussion or assignment of any ratings.

The Board of Directors also does not discuss any ratings at its meetings.

1 crore = 10 million

Refer to Annexure for Details of Instruments & Bank Facilities

Detailed Rationale

Crisil Ratings has reaffirmed its 'Crisil AA+/Stable/Crisil A1+' ratings on the bank facilities and short term debt of Finolex Cables Ltd (FCL; part of the Finolex group) and has subsequently **withdrawn** the rating on the proposed non-convertible debentures (NCDs) of Rs 150 crore on receipt of client request. The withdrawal is in line with the withdrawal policy of Crisil Ratings.

FCL reported a 6% increase in revenue to Rs 5,324 crore in fiscal 2025, up from Rs 5,018 crore in the previous fiscal. However, margins contracted to 9.92% due to volatility in copper and aluminum prices, which led to destocking price revisions, and a slowdown in demand during fiscal 2025, partly attributed to the general elections in the first half of the year. In the first half of fiscal 2026, the company achieved 9% revenue growth, with sales reaching Rs 2,771 crore, compared to Rs 2,542 crore in the corresponding period of the previous fiscal with earnings before interest, tax, depreciation and amortisation (EBITDA) margin improving to 10.2% in the first half of fiscal 2026. Revenue is likely to grow at 8-10% in the medium term with margins expected to remain at 10-11%, which will be supported by a better product mix and stable raw material prices.

FCL has maintained a healthy capital structure and strong debt protection metrics. Network has increased to Rs 5,495 crore as on September 30, 2025, on account of healthy accretion of profits. Company had cash and equivalent (including liquid investments) of ~Rs 2,713 crore as on September 30, 2025, against nil long-term debt.

Crisil Ratings has taken note of the ongoing dispute between the members of the Chhabria family (Mr Deepak Chhabria, and Mr Prakash Chhabria) over management control of FCL. The matter, which is sub judice, has not impacted the business operations of FCL, as per management articulation. Crisil Ratings will continue to monitor developments and any impact of a change in ownership and management on the company's business operations and liquidity.

The ratings continue to reflect the stable business risk profile of FCL, driven by its strong position in the electrical cables segment, established brand and integrated operations, and sound financial risk profile, backed by healthy cash accrual. These strengths are partially offset by susceptibility to intense competition, volatility in raw material prices and any economic downturn.

Analytical Approach

Crisil Ratings has combined the business and financial risk profiles of FCL and its joint venture (with J-Power Systems [JPS], Japan, and associate company (Finolex Industries Ltd).

Please refer Annexure - List of Entities Consolidated, which captures the list of entities considered and their analytical treatment of consolidation.

Key Rating Drivers - Strengths

Robust business risk profile, driven by strong position in the electrical cables segment, established brand, and integrated operations

FCL is a leading manufacturer of electrical wires and cables in India. Its strong market position is backed by its established brand and robust distribution network. As on September 30, 2025, FCL had nearly 2.25 lakh retailers and 5,000 channel partners, with a network of ~600 distributors. The strong distribution network has been instrumental in helping FCL over the past years and will support growth going forward also by providing an edge to the company over its competitors in a highly fragmented market.

Backward integration with in-house availability of copper rods ensures timely supply of quality raw material and offers a benefit against small, unorganised players. To diversify its product portfolio, the company has entered the fast-moving electrical goods (FMEG) segment. The segment has reported a revenue of Rs 256 crore in fiscal 2025 with 14% growth as compared to Rs 225 crore in fiscal 2024 and margins of 1.9% in fiscal 2025. The company's established position in the electrical wires and cables segment, growing distribution network and new launches in the FMEG segment will drive growth over the medium term.

Steady growth prospects in core businesses

FCL operates mainly in the electrical cables and telecom cables segments. Improved geographic reach in northern and eastern India, following the expansion of the Roorkee plant, should support the electrical cables business. The communication cables segment, after facing some pressure in the recent past, is likely to grow over the near-to-medium term. FCL has participated in the tender for Bharat Sanchar Nigam Ltd's (BSNL) Bharat Net, out of 16 tenders, 12 tenders have been awarded. The company expects to secure an order from the 4 tenders yet to be awarded or by entering into partnership with the companies who have been awarded the tenders.

Strong financial risk profile

The financial risk profile should remain healthy, supported by adequate network of Rs 5,495 crore and nil gearing as on September 30, 2025. The network is expected to increase, backed by steady cash accrual, while gearing will likely remain low as capital expenditure (capex) for new capacity or investments will be funded internally. Company has capex expectation of Rs 200-220 crore over the next 18 months as against expected annual net cash accrual of Rs 550-600 crore, which should suffice to cover the capex requirements, thus limiting external borrowing.

Key Rating Drivers - Weaknesses

Susceptibility to fluctuations in copper prices

Volatility in copper prices impacts profitability and cash flow from operations. Copper is the primary raw material and accounts for 70-75% of the raw material cost. Although the company revises products prices every month based on the previous month's London Metal Exchange prices, profitability will be impacted if it is unable to pass on the price increase to customers, as reflected in the last few quarters.

Vulnerability to economic downturn and intense competition

FCL will remain vulnerable to any slowdown in the domestic economy. Electrical wires and cables, which contribute ~84% to revenue, are used in the construction (real estate), agriculture, and automotive industries. Growth in these sectors is linked to the overall economy. Low gross domestic product (GDP) growth and its impact on the real estate sector may cause moderation in demand for electrical cables.

Furthermore, presence of several established players and unorganised entities in the electrical cables segment constrains the pricing power of organised players. Entry of new entities and aggressive market expansion strategy of existing players have intensified competition. Though the domestic market is becoming more quality conscious, intense competition may impact operating profitability.

Liquidity Strong

As on September 30, 2025, FCL had robust liquidity supported by cash and liquid investments of Rs 2,713 crore, majorly parked in liquid mutual funds, along with unutilised fund-based limits of Rs 200 crore. The company has nil long-term debt. FCL's utilisation of the fund-based limits was nil and of the non-fund-based limits was around 58% for the 12 months through August 2025. The company had net cash accrual of Rs 625 crore in fiscal 2025, which was sufficient to meet capex requirements.

Outlook Stable

Crisil Ratings believes FCL will maintain its stable business risk profile over the medium term, driven by its dominant position in the electrical cables segment. The company's financial risk profile should remain healthy, too, supported by comfortable capital structure and sufficient cash accrual.

Rating sensitivity factors

Upward factors:

- Significant growth in revenue to over Rs 10,000 crore, led by strong market leadership in 2-3 business segments, along with a steady operating margin
- Sustenance of strong financial risk profile and cash surplus

Downward factors:

- Significant impact on the business because of family dispute and any change in ownership
- Large, debt-funded acquisition or capex, weakening the capital structure
- Decline in revenue and continued pressure on operating margin remaining below 10% on sustained basis.

About the Company

FCL was set up in 1956 as the flagship company of the Finolex group. The company is a leading electrical cable manufacturer in India. It has a large product portfolio of electrical, communication, and power distribution cables. The company is also present in electrical switches, LED (light emitting diode)-based lighting products, fans, miniature circuit breakers and water heater segments and conduit pipes, irons. Its products are used in the residential, commercial, infrastructure and industrial sectors. Its facilities are in Maharashtra, Goa and Uttarakhand.

In January 2008, FCL and JPS entered into a JV agreement to form Finolex J-Power Systems Ltd (FJPS), to manufacture high-voltage (up to 500 kilovolt) and cross-linked, polyethylene-insulated power cables, used in power distribution. FJPS also offers turnkey solutions in extra-high-voltage cable systems.

Key Financial Indicators

Particulars	Unit	2025	2024
Revenue	Rs crore	5,324	5,018
Profit after tax (PAT)	Rs crore	701	652
PAT margin	%	13.2	13.0
Adjusted debt / adjusted networth	Times	0.0	0.0
Adjusted interest coverage	Times	472	386

the above numbers are Crisil Ratings-Adjusted numbers.

Any other information: Not applicable

Note on complexity levels of the rated instrument:

Crisil Ratings` complexity levels are assigned to various types of financial instruments and are included (where applicable) in the 'Annexure - Details of Instrument' in this Rating Rationale.

Crisil Ratings will disclose complexity level for all securities - including those that are yet to be placed - based on available information. The complexity level for instruments may be updated, where required, in the rating rationale published subsequent to the issuance of the instrument when details on such features are available.

For more details on the Crisil Ratings` complexity levels please visit www.crisilratings.com. Users may also call the Customer Service Helpdesk with queries on specific instruments.

Annexure - Details of Instrument(s)

ISIN	Name Of Instrument	Date Of Allotment	Coupon Rate (%)	Maturity Date	Issue Size (Rs.Crore)	Complexity Levels	Rating Outstanding with Outlook
NA	Short Term Debt	NA	NA	7-365 days	50.00	Simple	Crisil A1+
NA	Cash Credit ^{&}	NA	NA	NA	200.00	NA	Crisil AA+/Stable
NA	Letter of credit & Bank Guarantee	NA	NA	NA	250.00	NA	Crisil A1+

& - Interchangeable with overdraft facility, bill discounting, cheque discounting, packing credit, and short-term loan

Annexure - Details of Rating Withdrawn

ISIN	Name Of Instrument	Date Of Allotment	Coupon Rate (%)	Maturity Date	Issue Size (Rs.Crore)	Complexity Levels	Rating Outstanding with Outlook
NA	Non Convertible Debentures [#]	NA	NA	NA	150.00	Simple	Withdrawn

[#] Yet to be issued

Annexure – List of entities consolidated

Names of Entities Consolidated	Extent of Consolidation	Rationale for Consolidation
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Finolex J-Power Systems Ltd	Moderate	Joint venture
Finolex Industries Ltd	Moderate	Associate company

Annexure - Rating History for last 3 Years

	Current			2025 (History)		2024		2023		2022		Start of 2022
Instrument	Type	Outstanding Amount	Rating	Date	Rating	Date	Rating	Date	Rating	Date	Rating	Rating
Fund Based Facilities	LT	200.0	Crisil AA+/Stable		--	28-11-24	Crisil AA+/Stable	12-12-23	Crisil AA+/Stable	22-12-22	Crisil AA+/Stable	Crisil AA+/Stable
			--		--		--	31-10-23	Crisil AA+/Stable	15-12-22	Crisil AA+/Stable	--
			--		--		--		--	31-01-22	Crisil AA+/Stable	--
Non-Fund Based Facilities	ST	250.0	Crisil A1+		--	28-11-24	Crisil A1+	12-12-23	Crisil A1+	22-12-22	Crisil A1+	Crisil A1+
			--		--		--	31-10-23	Crisil A1+	15-12-22	Crisil A1+	--
			--		--		--		--	31-01-22	Crisil A1+	--
Non Convertible Debentures	LT	150.0	Withdrawn		--	28-11-24	Crisil AA+/Stable	12-12-23	Crisil AA+/Stable	22-12-22	Crisil AA+/Stable	Crisil AA+/Stable
			--		--		--	31-10-23	Crisil AA+/Stable	15-12-22	Crisil AA+/Stable	--
			--		--		--		--	31-01-22	Crisil AA+/Stable	--
Short Term Debt	ST	50.0	Crisil A1+		--	28-11-24	Crisil A1+	12-12-23	Crisil A1+	22-12-22	Crisil A1+	Crisil A1+
			--		--		--	31-10-23	Crisil A1+	15-12-22	Crisil A1+	--
			--		--		--		--	31-01-22	Crisil A1+	--

All amounts are in Rs.Cr.

Annexure - Details of Bank Lenders & Facilities

Facility	Amount (Rs.Crore)	Name of Lender	Rating
Cash Credit ^{&}	7.5	State Bank of India	Crisil AA+/Stable
Cash Credit ^{&}	25	Central Bank of India	Crisil AA+/Stable
Cash Credit ^{&}	22.5	Union Bank Of India Limited	Crisil AA+/Stable
Cash Credit ^{&}	67.5	ICICI Bank Limited	Crisil AA+/Stable
Cash Credit ^{&}	30	Axis Bank Limited	Crisil AA+/Stable
Cash Credit ^{&}	47.5	HDFC Bank Limited	Crisil AA+/Stable
Letter of credit & Bank Guarantee	97.5	ICICI Bank Limited	Crisil A1+
Letter of credit & Bank Guarantee	20	Axis Bank Limited	Crisil A1+
Letter of credit & Bank Guarantee	65	HDFC Bank Limited	Crisil A1+
Letter of credit & Bank Guarantee	25	Central Bank of India	Crisil A1+
Letter of credit & Bank Guarantee	27.5	Union Bank Of India Limited	Crisil A1+
Letter of credit & Bank Guarantee	15	State Bank of India	Crisil A1+

& - Interchangeable with overdraft facility, bill discounting, cheque discounting, packing credit, and short-term loan

Criteria Details

Links to related criteria
<u>Basics of Ratings (including default recognition, assessing information adequacy)</u>
<u>Criteria for consolidation</u>
<u>Criteria for manufacturing, trading and corporate services sector (including approach for financial ratios)</u>

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